

DIGITALAIKART

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The IPO Investor's Playbook

India 2026-27 Edition

Apply smarter, judge valuation, dodge the hype,
and file your tax right.

23

Chapters

35+

Pages

20

Rules decoded

2026-27

Verified facts

Every figure verified from SEBI, Income Tax Department, NSE, BSE, NPCI and AMFI sources.

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How to use this playbook

Read it once end to end, then keep it open on the chapter you need - Chapter 8 when you apply, Chapter 11 when you value an issue, Chapter 18 when you file your tax. The framework in Chapter 19 is designed to be reused before every application.

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The Rules At A Glance

The Rules At A Glance

Every number below is drawn from SEBI's ICDR Regulations, NPCI, the Income Tax Department and exchange practice, current as of October 2026. Use this page as your one-screen cheat sheet.

Rule	The number
Retail Individual Investor cap	Bid value up to Rs 2,00,000
Small NII / Big NII	Rs 2 lakh to Rs 10 lakh / above Rs 10 lakh
Mainboard book-built allocation	Retail at least 35%, NII at least 15%, QIB up to 50%
Anchor investor minimum	Rs 10 crore on the mainboard; up to 60% of the QIB portion
Anchor lock-in	90 days on 50% and 30 days on the remaining 50%
Payment mechanism	ASBA is mandatory for all categories
UPI ASBA per-transaction cap	Rs 5,00,000 (NPCI), for retail and small NII
UPI mandate deadline	5:00 PM on the closing day (T)
Applications per PAN	One per IPO - duplicates are liable to rejection
Listing timeline	T+3 working days after issue close
Minimum allottees in an issue	1,000
Short-term capital gains tax	20% + 4% cess (Sec 111A; Sec 196 under the new Act)
Long-term capital gains tax	12.5% on gains above Rs 1.25 lakh a year (Sec 112A; Sec 198)
Holding period to become long-term	More than 12 months from allotment

Chapter 1 - The IPO Moment: Why Learn This Now

India is in the middle of its biggest primary-market boom on record. In the first half of FY 2026-27 (April to September 2026), 78 mainboard companies raised Rs 94,205 crore through IPOs - 35% more than the previous first-half record of Rs 69,533 crore, and a striking turnaround from the Rs 3,794 crore raised in the first three months of the year. The average listing gain across the 64 issues that had listed by late September was 19%, against just 7% a year earlier. The pipeline is even bigger: roughly Rs 3.86 lakh crore of issues sit waiting, about Rs 2.43 lakh crore of them already cleared by SEBI.

This is not a story that only belongs to Mumbai's trading floors. India now has around 23.77 crore demat accounts across NSDL and CDSL as on 31 August 2026, and the NSE alone has 13.4 crore unique registered investors. Nearly 40% of NSE's investors are under 30. The average monthly SIP into mutual funds hit a record Rs 32,297 crore in August 2026. A generation that grew up buying everything on UPI is now being handed the keys to the primary market - and many of them are applying for their first IPO with no idea what an offer document contains.

That gap is exactly what this playbook fills. It is not a stock-tip sheet, and it will not tell you which issue to apply to tomorrow. What it does is teach you the machinery: how an IPO is priced, who is on the other side of your application, how allotment really works, what the grey market premium is worth, what you owe in tax the moment your shares list, and how to say no to an issue that only looks exciting.

What you will be able to do by the last page

- Read a Red Herring Prospectus and pull out the ten things that actually decide whether an IPO is worth your money.
- Value an issue against its listed peers instead of against its grey-market chatter.
- Apply correctly through UPI ASBA or bank ASBA - and know the two deadlines that quietly reject thousands of applications every week.
- Understand your real allotment odds in the retail category, and why applying for more lots does not improve them.
- Make a calm sell-or-hold decision on listing day, with the tax bill already in your head.
- File the capital-gains tax on your listing gains correctly, at 20% short-term or 12.5% long-term.

A note on honesty: every figure, rule and deadline in this playbook comes from an official source - SEBI, the Income Tax Department, NSE, BSE, NPCI, AMFI, PIB or the RBI - or from a named, dated market report. Where a number is an estimate, it is labelled as one. Nothing here is investment advice, and no one should ever apply for an IPO on the strength of a tip.

KEY TAKEAWAYS

- India's IPO market is at a record high - 78 mainboard issues raised Rs 94,205 crore in H1 FY27, with a Rs 3.86 lakh crore pipeline behind them.
- Retail participation is at an all-time high: about 23.77 crore demat accounts and 13.4 crore NSE investors.
- The goal of this playbook is judgement, not tips - learn the machinery and apply less often, for better reasons.

Chapter 2 - What An IPO Actually Is

An Initial Public Offering is the first time a company sells its shares to the general public and gets them listed on a stock exchange. Before an IPO, the company's shares are held by a small set of founders, employees and early investors. After it, anyone with a demat account can own a slice of the business and trade it freely. The company crosses from private to public.

The single most useful distinction to internalise is this: you are not buying from the company most of the time. You are buying from somebody who already owned the shares. Indian mainboard IPOs are built from two very different components, and the mix between them tells you a lot about the issue.

Fresh issue vs offer for sale - the difference that matters most

A fresh issue is new shares the company creates and sells. The money goes into the company's bank account and is used for whatever the offer document says - building a factory, repaying debt, funding working capital, or just growing. When you buy into a fresh issue, you are funding the business.

An offer for sale (OFS) is existing shareholders - promoters, private-equity funds, early backers - selling their own shares. Not a single rupee reaches the company. The money goes to the sellers. When an IPO is entirely an OFS, the company is not raising capital at all; it is simply giving its existing owners an exit. The NSE's own 2026 IPO, the biggest of the year at Rs 22,563 crore, was structured entirely as an offer for sale - the exchange received no fresh money.

This is not automatically good or bad, but it changes the question you ask. A fresh issue invites the question: can this management deploy new capital well? An OFS invites a sharper one: why is the existing owner selling, and at what price?

Book building: how the price is discovered

Almost every Indian mainboard IPO today uses the book-building route. Instead of fixing one price, the company announces a price band - say Rs 400 to Rs 425 per share. Investors bid within that band. At the close of bidding, the company and its bankers look at demand at each price and set a single cut-off price, usually near the top of the band if the issue is well subscribed. Retail investors can bid at the cut-off price, which simply means 'I will accept whatever final price you set' - a small convenience that avoids the risk of bidding at Rs 400 and missing a final price of Rs 410.

A small number of issues use the fixed-price route, where the price is announced upfront and there is no band. The mechanics you will learn here apply to both, but the vast majority of the money and the headlines sit in book-built issues.

Why companies go public at all

- To raise growth capital without taking on more debt.
- To give founders and early investors liquidity - a way to convert paper wealth into cash.
- To create a public currency - listed shares can be used to reward employees and to acquire other companies.
- To gain visibility, credibility and a lower cost of capital for future fundraising.

Understanding the company's motive is the first filter. A profitable business raising fresh capital to expand is a very different proposition from a loss-making one whose promoters are cashing out at the top of a cycle.

KEY TAKEAWAYS

- An IPO is the first public sale of a company's shares; after it, anyone with a demat account can own and trade them.
- Fresh issue money goes to the company; offer-for-sale money goes to existing sellers - always know which you are buying.
- In a book-built issue the price is discovered from demand within a band; retail bidders can use the cut-off price.

Chapter 3 - The Many Faces of a Public Issue

An IPO is the most talked-about kind of public issue, but it is not the only one. Over a market cycle you will run into several others, and each works a little differently. Knowing which is which stops you from misreading an opportunity - or mistaking a company cashing out for a company growing.

The six kinds of public issue you will meet

Type	What it is	Where the money goes
IPO	A company's first sale of shares to the public	Fresh issue to the company, OFS to sellers
FPO	A follow-on public offer by an already-listed company	Usually fresh capital to the company
Rights issue	New shares offered to existing shareholders, usually at a discount	To the company; existing holders can subscribe in proportion to their stake
Buyback	The company buys back its own shares from the market	Out of the company, to selling shareholders
Public bond / NCD issue	A company borrows from the public by issuing debentures	To the company; you are a lender, not an owner
REIT / InvIT	Listed trusts that own income-producing real estate or infrastructure	To the trust; you earn distributions, not equity growth

Why the distinction matters to you

In an IPO or an FPO, you are buying ownership - a share of the profits and the risks. In a public bond issue, you are lending, and your return is capped at the coupon even if the company doubles its profits. In a rights issue, the offer is first made to people who already hold the shares, and the price is usually set at a discount to the market, which dilutes anyone who does not subscribe. In a buyback, the company is reducing its share count, which can lift the value of the shares that remain.

For a first-time investor, the practical rule is simple: learn IPOs and FPOs first, because that is where the volume, the headlines and the allotment lottery live. Treat public bond issues and REITs as a separate, lower-risk asset class with their own analysis, and treat rights issues as something you respond to as an existing shareholder rather than something you apply for fresh. The rest of this playbook focuses on IPOs, because that is the door most people are walking through.

KEY TAKEAWAYS

- IPO, FPO, rights issue, buyback, public bond issue and REIT/InvIT are all 'public issues' but they work differently.
- In an IPO or FPO you buy ownership; in a bond issue you are a lender with a capped return.
- Learn IPOs and FPOs first - that is where the volume and the allotment lottery live.

Chapter 4 - The Players: Who Does What

An IPO is a short, tightly choreographed production with a large cast. Knowing who does what helps you read the documents and understand where your money and your application actually sit during the process.

Player	Role in the issue
The issuer	The company going public. It decides to raise money, files the documents and receives the fresh-issue proceeds.
Book Running Lead Managers (BRLMs)	The merchant bankers who run the issue - pricing, marketing, book-building and regulatory filings. Their names appear on the cover of the offer document.
The registrar (RTA)	The agency that processes every application, decides the basis of allotment and instructs banks on whose money to debit or release. You check your allotment status on the registrar's website.
Self-Certified Syndicate Banks (SCSBs)	Banks authorised to accept ASBA applications and block funds. Your bank must be on SEBI's SCSB list for you to apply through it.
Sponsor bank	The bank that runs the UPI mandate mechanism, working with NPCI to send you the block request and to debit or release your funds.
Stock exchanges (NSE, BSE)	The venues for the electronic bidding platform. The designated exchange approves the basis of allotment and grants listing and trading permission.
Depositories (CDSL, NSDL)	Hold your shares electronically. On allotment, they credit the shares to your demat account through a corporate action.
NPCI	Operates the UPI rails over which your mandate travels, and caps how much one UPI mandate can block.
SEBI	The regulator. It vets offer documents, sets the ICDR rules and polices the market.

Anchor investors: the ones who bid first

A day before an IPO opens to the public, a set of large institutions called anchor investors place bids. To qualify as an anchor on the mainboard, an institution must apply for at least Rs 10 crore worth of shares. Anchors can take up to 60% of the portion reserved for institutional buyers, and at least one-third of the anchor portion is reserved for domestic mutual funds.

Anchors serve two purposes: they signal quality (a marquee fund on the list is a genuine endorsement) and they commit money upfront. But they are not locked in forever. Under the current rules, 50% of an anchor's shares are locked in for 90 days from allotment and the remaining 50% for 30 days. So a heavy anchor book is encouraging, but it does not guarantee the stock holds up once those locks expire.

When you read a prospectus, the anchor list - who came in, how much they committed, and whether it is dominated by domestic mutual funds - is one of the most useful quality signals available to you. Treat a book full of unfamiliar names and zero mutual funds with more caution than one anchored by established institutions.

KEY TAKEAWAYS

- The BRLM prices and runs the issue; the registrar decides allotment; your bank blocks your money.
- Anchor investors bid a day early and must commit at least Rs 10 crore on the mainboard.
- An anchor book full of established domestic mutual funds is a genuine quality signal - check it before you apply.

Chapter 5 - The Investor Categories, Decoded

You are not competing with everyone in an IPO. You are competing within your own category, and each category has its own reserved slice of the issue and its own allotment rules. Getting your category right is the difference between a valid application and a rejected one.

Retail Individual Investor (RII): your home category

A retail individual investor is an individual who applies for shares worth not more than Rs 2,00,000 in a public issue. This Rs 2 lakh ceiling is set by SEBI's ICDR Regulations and has stayed unchanged for over fifteen years. Retail bids in a mainboard book-built issue get at least 35% of the net offer to the public - by far the largest reserved slice. If your application value crosses Rs 2 lakh, the system quietly moves you out of retail and into the non-institutional category, with a different allotment pool.

Non-Institutional Investors (NIIs): the 'HNI' bucket

Anyone who is neither retail nor a qualified institutional buyer is a non-institutional investor. NIIs get at least 15% of the net offer. The NII category is itself split: applications between Rs 2 lakh and Rs 10 lakh fall into a 'small NII' sub-category, which is entitled to at least one-third of the total NII allocation; applications above Rs 10 lakh are 'big NII'. The split matters because small NII applicants get a guaranteed minimum lot when the issue is oversubscribed, exactly as retail investors do, while big NII applicants are allotted proportionately to what they bid.

Qualified Institutional Buyers (QIBs): the heavyweights

QIBs are institutions - mutual funds, insurance companies, banks, foreign portfolio investors, pension funds and the like. In a normal book-built issue they get up to 50% of the net offer; in a compulsory book-built issue (the 'QIB route', where the company must allot at least 75% to QIBs or refund everything) they take 75%, leaving 15% for NIIs and 10% for retail. QIB subscription is the number professional investors watch first, because institutions do real diligence and their demand is a harder signal than retail enthusiasm.

The smaller reserved categories

- Employee quota: many issuers reserve a small portion for their own employees, often at a discount to the issue price. It is usually under-subscribed and can be a genuine perk if you work there.

- Shareholder quota: a company that is already listed and is doing a further offer may reserve a slice for its existing shareholders.
- Anchor portion: taken from the QIB slice, bid a day early, with staged lock-ins.

Category	Who qualifies	Reserved share (book-built mainboard)
Retail (RII)	Individual, bid up to Rs 2,00,000	At least 35%
Non-Institutional (NII)	Anyone not retail or QIB	At least 15%
Qualified Institutional (QIB)	Funds, banks, insurers, FPIs, pensions	Up to 50%

Why this matters: a Rs 2,00,000 bid competes in a pool reserved for retail, with a lottery-based allotment. The same money bid as Rs 2,00,001 competes in the NII pool, where small-NII applicants get a guaranteed lot but the odds and the maths change completely. Know which pool you are in before you click submit.

KEY TAKEAWAYS

- Retail means an individual bidding up to Rs 2,00,000 - that is the category most readers will use.
- Mainboard book-built issues reserve at least 35% for retail, 15% for NIIs and up to 50% for QIBs.
- Cross Rs 2 lakh and you silently move into the NII pool, with completely different allotment rules.

Chapter 6 - Getting Ready: Your IPO Toolkit

You cannot apply for an IPO without four things, and one of them - the demat account - is the one people most often forget to prepare in advance. Set this up once and every future application is a five-minute job.

The four essentials

- 1 A demat account with a SEBI-registered depository participant, linked to either CDSL or NSDL. Your broker (Zerodha, Groww, Upstox, ICICI Direct, HDFC Securities and so on) provides this. Allotment happens only into a demat account - there are no physical share certificates.
- 2 A PAN card. Your PAN is the single identity that ties your demat account, your bank account and your application together. The PAN on your demat account and the PAN on your bank account must match exactly, or the registrar's third-party check will reject your application.
- 3 A bank account in your own name, with an SCSB, that can block funds. With the UPI route, the bank must host your UPI handle and appear on NPCI's current list of banks eligible for UPI IPO mandates.
- 4 A UPI ID linked to that bank account. Most brokers collect this at application time and send you a mandate to approve.

A pre-flight check you should run once

- Confirm your PAN is updated in your demat account's records - a mismatch is one of the most common silent rejections.
- Confirm your demat account is active and not dormant.
- Confirm your UPI ID is in your own name. A family member's UPI handle will be rejected at the sponsor-bank stage.
- Confirm your bank is on the current SCSB / UPI-eligible list for the specific issue - some banks are temporarily excluded from some issues.
- Keep the same mobile number and email across broker, bank and PAN records so that mandate requests and allotment updates reach you.

One more rule to burn into memory: you can submit only one application per PAN per IPO. If you apply twice - through two brokers, two UPI IDs or two demat accounts - every application from that PAN is liable to be rejected. Applying through your spouse's or parents' PAN is the only legitimate way to make a second application, and each of them needs their own demat account, PAN and bank account.

KEY TAKEAWAYS

- You need a demat account, a PAN, a bank account and a UPI ID - and all four must match on PAN.
- One PAN allows only one application per IPO; a second application from the same PAN is liable to rejection.
- A family member's UPI handle triggers a third-party rejection - the account must be in your own name.

Chapter 7 - The Complete Lifecycle, Day By Day

Since December 2023, India runs one of the fastest IPO settlement cycles in the world: shares list just three working days after the issue closes. The framework is called T+3, where T is the day the issue closes. Understanding this calendar removes almost all the anxiety from the process - you always know what is happening and when.

Day	What happens
T-7 to T-1	The price band and dates are announced. Anchor investors bid a day before the issue opens. You read the offer document and decide.
T (closing day)	Bidding closes - 5:00 PM for retail and reserved categories. Your UPI mandate must be approved by 5:00 PM on this day, or the application fails.
T+1	The registrar finalises the basis of allotment by 6:00 PM and the designated exchange approves it by 9:00 PM. Allotment status goes live on the registrar's website.
T+2	Funds are debited for the shares you were allotted and the block is released for the rest, by 4:00 PM. Shares are credited to allottees' demat accounts by 6:00 PM.
T+3	Trading begins. A pre-open call auction runs from 9:00 AM to 9:45 AM, and regular trading starts at 10:00 AM.

Why T+3 is a genuine improvement for you

Before the reform, the cycle was T+6. Your money stayed blocked for six working days even if you received nothing. At T+3, an unsuccessful applicant gets the entire blocked amount released by T+2 - three days of working-capital lock-up instead of six. If you apply to several IPOs in a busy month, that difference compounds. Your money is blocked, not debited, throughout - it continues to earn whatever interest your savings account pays, because a lien does not remove the book balance, only the available balance.

Two hard deadlines decide whether thousands of applications live or die: your UPI mandate must be approved by 5:00 PM on the closing day, and the amount you bid must match the lot size at your chosen price. Apply on day one or two of the issue, and approve the mandate the moment it arrives in your UPI app - not in the evening.

After listing: the trade-to-trade phase

Most newly listed mainboard scrips are placed in trade-to-trade (T2T) settlement for the first ten trading days. In simple terms, every transaction must be settled by delivery - there is no intraday netting. This is a deliberate SEBI measure to dampen speculation in a freshly listed stock. Plan around it: if you intend to sell on listing day, sell from shares you actually hold in your demat account, not by intraday betting.

KEY TAKEAWAYS

- India lists shares just three working days after an issue closes - the T+3 framework.
- Unsuccessful applicants get their blocked money released by T+2, not T+6 as in the old system.
- Your money is blocked, not debited - it keeps earning savings-account interest while the lien is in place.

Chapter 8 - How To Apply: UPI ASBA vs Bank ASBA

Every Indian public issue must be paid for through ASBA - Application Supported by Blocked Amount. The idea is simple and investor-friendly: instead of handing your money over and hoping for a refund, you authorise your bank to block the amount. It is debited only if you are allotted shares. If you are not, the block is released. There are two ways to do this.

UPI ASBA: the app route

This is how almost every retail investor applies today. You open your broker's app, pick the open issue, choose the number of lots (or the cut-off price), and enter your UPI ID. The broker forwards your bid to the exchange, which passes it to your bank through the NPCI UPI switch. A mandate request then appears in your UPI app - Google Pay, PhonePe, BHIM, Paytm or your bank's own app. You review the issuer name, the block amount and the validity, and approve it with your UPI PIN. The bank places a lien on your account for that amount. You do not hand over your PIN to anyone - the mandate comes to you, and only you approve it.

Bank ASBA: the net-banking route

You log in to your bank's net-banking portal, go to the IPO or ASBA section, and submit the application directly. The bank blocks the amount when you submit - no separate mandate approval step. This route is available to all categories and has no upper limit, which makes it the only practical way to apply for larger amounts.

Feature	UPI ASBA	Bank ASBA
Where you apply	Broker app or web platform	Bank net-banking portal
Approval	You approve a UPI mandate with your PIN	Funds blocked automatically on submission
Per-transaction cap	Rs 5,00,000 (NPCI limit)	No specified upper limit
Who can use it	Individual retail and small NII	All categories
Key deadline	Mandate approved by 5:00 PM on closing day	Application submitted within the bank's window

The two limits people confuse

There are two different numbers in play, and mixing them up is common. The NPCI limit on a single UPI mandate is Rs 5,00,000 - so UPI can technically carry a bid up to Rs 5 lakh. But the SEBI retail category ceiling is still Rs 2,00,000. So a bid between Rs 2 lakh and Rs 5 lakh made through UPI is treated by the registrar as a small-NII application, not retail, and is allotted from the NII bucket. Most brokers do not even expose the small-NII option through UPI, which means the practical retail ceiling stays at just under Rs 2 lakh.

Step by step: your first application

- 1 Check the issue is open and read at least the objects of the issue and the basis for the offer price.
- 2 Decide your category - for most individuals, retail, with a bid under Rs 2 lakh.
- 3 In your broker app, select the issue, choose cut-off price (or a price within the band), and pick the number of lots.
- 4 Enter your UPI ID and submit the bid.
- 5 Watch your UPI app. A mandate request will arrive - verify the issuer and amount, then approve it with your PIN.
- 6 Confirm the mandate is 'accepted' in your broker's order history. An unapproved mandate is an unconfirmed bid.
- 7 On T+1, check your allotment status on the registrar's website, the exchange site or your broker's app.
- 8 On T+3, decide whether to sell on listing or hold - see Chapter 15.

Retail investors can withdraw an ASBA bid up to the close of the issue. If you approve the mandate and then change your mind before bidding closes, you can cancel through your broker. After the close, the process is out of your hands.

KEY TAKEAWAYS

- UPI ASBA is the app route for retail; bank ASBA is the net-banking route with no upper limit.
- The UPI mandate must be approved by 5:00 PM on the closing day, or the bid is never confirmed.
- The NPCI UPI cap is Rs 5 lakh, but the SEBI retail ceiling is still Rs 2 lakh - do not confuse the two.

Chapter 9 - Reading Subscription Numbers Like a Pro

On the evening an issue closes, three numbers appear and get shared everywhere: how many times the issue was subscribed overall, and how many times in each category. Learning to read those numbers - rather than just the headline - is the difference between knowing what happened and knowing what it means.

The three numbers, and which one to trust

- QIB subscription: the institutional book. This is the number professional investors watch first, because institutions do real diligence. A QIB book that is comfortably covered is a genuine demand signal; one that barely scrapes through is a warning, however hot the overall number looks.

- NII subscription: the HNI book. High NII subscription often reflects leverage and short-term punting rather than conviction, so treat an enormous NII number as enthusiasm, not endorsement.
- Retail subscription: your own category. This tells you how crowded your pool is and, therefore, how small your allotment odds are. A retail book subscribed 40 times means roughly a one-in-forty chance for a single application.

How the book fills, day by day

Subscription does not build evenly. QIBs typically bid on the final day, because they can see how the retail and NII books are shaping up before committing. So a book that looks thin on day one is not a verdict - it is a snapshot. If you are deciding whether to apply, look at the day-two and day-three numbers, and remember that the QIB figure that appears late on the closing day is the one the market will judge the issue by.

What the multiples actually mean

A '1x' subscription means the issue was covered exactly once - demand equalled supply. '5x' means five times as many shares were bid for as were available. In the retail category, where allotment is by lottery, the multiple is a direct, rough measure of how thin your odds are. In the QIB category, the multiple tells you how keen institutions were, but it does not change your allotment - you are not in that pool. The most useful single comparison is the QIB multiple set against the overall multiple: if the issue is subscribed 60 times overall but the QIB book is only 1.2 times covered, the enthusiasm is coming from retail and HNIs, not from institutions - and that is a very different picture.

The anchor book is the earliest signal of all

Because anchors bid a full day before the public issue opens, the anchor list is the first real quality signal you get. A book anchored by established domestic mutual funds, insurance companies and marquee foreign institutions suggests the issue has been vetted by people who can afford to do the work. A book with no domestic mutual funds and a list of unfamiliar names should make you read the offer document more carefully, not less.

Practical habit: before you apply, note the QIB, NII and retail subscription figures at the end of day two. After the issue closes, compare them with the final numbers. Over a dozen issues, this simple record will teach you more about the market than any tip.

KEY TAKEAWAYS

- Watch the QIB number first - institutional demand is the hardest signal in the book.
- A huge NII number usually reflects leverage and punting, not conviction.
- The anchor list, published a day before the issue opens, is the earliest quality signal available.

Chapter 10 - Reading The Offer Document Without Falling Asleep

A mainboard Red Herring Prospectus (RHP) can run to 600 pages. Nobody expects you to read all of it. What matters is that you know the handful of sections where the real information lives, and you read those. Here is the shortlist, in the order that saves the most time.

1. Objects of the issue

This section tells you exactly what the fresh-issue money will be used for. Look for specifics: how much for capacity expansion, how much for debt repayment, how much for working capital, how much is 'general corporate purposes'. A large general-corporate-purposes bucket with no detail is a yellow flag - it means the company has not committed to a use. If the issue is entirely an offer for sale, there are no objects to speak of, and the money is going to the sellers.

2. Basis for the offer price

This is the valuation argument, in the company's own words. It sets out the qualitative factors and the financial ratios the bankers used to justify the price. Read it with a sceptical eye and then do your own comparison - Chapter 11 shows you how. If the basis section leans heavily on 'brand', 'market position' and 'future growth' while your own peer comparison says the issue is priced at twice the sector's multiple, you have your answer.

3. Risk factors

Every RHP carries dozens of risk factors, and they are written in dense legal language precisely so that they are hard to read. Read the first twenty or so anyway. They often disclose things the marketing never mentions: dependence on a handful of customers, an ongoing tax dispute, a promoter pledge, an unregistered trademark, an environmental notice. A risk factor that is specific and quantified ('our top five customers accounted for 48% of revenue') is more useful than a generic one.

4. Financial statements and the key performance indicators

Look at three years of restated financials for revenue, EBITDA margin, profit after tax, and cash flow from operations. Then look at the KPI table that most modern prospectuses carry - it often includes operational metrics (order book, customer count, average revenue per user) that explain the numbers. The single most telling figure is often cash flow from operations versus reported profit: a company that reports healthy profit but weak operating cash flow is worth a second look.

5. The rest of the shortlist

- Capital structure and promoter holding - how much the promoters own before and after, and whether they are selling in the OFS.
- Promoter and management background - track record, related entities, and any past regulatory action.

- Litigation and regulatory disclosures - pending cases, tax demands and notices.
- Related-party transactions - how much business the company does with its own promoters' other firms.
- Dividend policy - usually a formality, but it tells you whether management thinks about shareholders.
- Peer comparison - the RHP itself lists comparable listed companies. Use it, but verify the numbers.

Where to find the documents: the DRHP and RHP are published on SEBI's website (sebi.gov.in), on the websites of NSE and BSE, and on the issuer's and lead managers' sites. You can also read the abridged prospectus - a short summary that appears on the application form itself.

KEY TAKEAWAYS

- A 600-page prospectus reduces to a handful of sections worth reading: objects, basis for the offer price, risks and financials.
- Read the first twenty risk factors - they often disclose what the marketing never mentions.
- Compare cash flow from operations with reported profit; a gap between them deserves a second look.

Chapter 11 - Valuing An IPO: Is It Cheap Or Just Popular?

The most expensive mistake in IPO investing is confusing a popular issue with a cheap one. A stock can be subscribed 90 times and still be wildly overpriced. Valuation is the discipline that separates an investor from a lottery-ticket buyer, and you can do a credible first pass in twenty minutes with the numbers the prospectus already gives you.

The four ratios that do most of the work

- Price-to-Earnings (P/E): the issue price divided by earnings per share. Compare it with the P/E of listed peers in the same industry - not with the market average. A 60x P/E in a high-growth software firm is a different animal from 60x in a commodity business.
- Earnings per Share (EPS): the company's post-tax profit divided by the number of shares. Make sure you use post-issue EPS (after the new shares are added), not pre-issue EPS, or your P/E will look artificially low.
- Price-to-Book (P/B): the issue price against book value per share. Most useful for banks, lenders and asset-heavy businesses, less so for asset-light ones.
- Return on Equity (ROE): profit as a percentage of shareholders' equity. High ROE sustained over years is a sign of a genuinely good business; a one-year spike is often an accounting event.

How to build a peer comparison in twenty minutes

- 1 Open the RHP's peer-comparison section and note the listed companies it names.
- 2 For each peer, pull the current P/E and, if relevant, P/B from any stock-market site or your broker's app.
- 3 Line up the issue's post-issue P/E against the peer range. If the issue sits above the top of the range, ask what justifies the premium - and whether that justification is a number or a slogan.
- 4 Check the direction of margin and revenue growth over three years. Is the company growing faster than the peers it is priced above?
- 5 Check cash flow from operations against reported profit. Growth funded by real cash is worth more than growth funded by accounting.

The valuation questions that decide most calls

- Is the company growing faster, at the same rate, or slower than its listed peers - and is the price telling the same story?
- Are the margins sustainable, or do they depend on a commodity cycle at a peak?
- How much of the issue is fresh capital (which grows the business) versus offer for sale (which enriches sellers)?
- What is the debt level, and is the fresh issue being used to repay it or to grow?
- Does the promoter hold a meaningful stake after the issue, or is this a full exit dressed up as a growth story?

A useful habit: write down, before the issue closes, the one sentence that justifies the price you are paying. If you cannot complete the sentence without using the words 'everyone is applying', the honest answer is that you do not have a reason - you have a feeling.

KEY TAKEAWAYS

- Value the issue against listed peers in the same industry, never against the market average.
- Use post-issue EPS for the P/E, or your valuation will look artificially cheap.
- If you cannot justify the price in one sentence without mentioning other applicants, you do not have a reason.

Chapter 12 - Where IPOs Fit In Your Portfolio

An IPO is a single event, not an investment strategy. The investors who do well over a decade treat IPOs as one small source of ideas inside a portfolio that is mostly built on steadier foundations. This chapter is about keeping IPOs in their place.

The three layers of a sensible portfolio

- A core of diversified funds - index funds or diversified equity funds - that you hold through ups and downs and add to monthly. This is the layer that does most of the work over time.
- A layer of direct holdings in businesses you have chosen carefully and understand. IPOs can feed this layer, but only when an issue genuinely passes your scorecard.
- A small opportunistic layer for special situations, including IPOs. This is money you can afford to have blocked, and to lose, without changing your plans.

The mistake retail investors make in a hot IPO market is inverting this pyramid - letting the smallest, most speculative layer dominate because it is the most exciting. The numbers make the case for balance. India's mutual-fund SIP flows hit a record Rs 32,297 crore a month in August 2026, precisely because millions of investors decided that steady, monthly investing beats chasing the next listing pop.

How much of your money should go into IPOs?

There is no single right number, but there is a right way to arrive at one. Decide, in advance and in writing, the maximum total amount you will have blocked in IPO applications at any time - and stick to it even when the market is euphoric. A useful anchor: size it so that a total loss on every application you make in a month would be an annoyance, not a crisis. Because IPO allotment is a lottery, you cannot control which issues you get - so you must control how much you expose.

Why a listing pop is the wrong reason to hold

The strongest reason to own any share is that you want to own the business at that price. If an IPO gives you a company you would happily hold for years, a listing gain is a bonus, not a signal to sell. If it gives you a company you would not otherwise buy, the listing gain is a gift - take it and move on. Deciding which of the two you are holding, before the listing bell rings, is the whole discipline in one sentence.

KEY TAKEAWAYS

- IPOs are a small, optional layer inside a portfolio built mostly on diversified funds.
- Set a written cap on the total amount you will have blocked in IPO applications at any time.
- Hold a share only if you would buy the business at that price with fresh money.

Chapter 13 - The Grey Market Premium: A Forecast, Not A Promise

No conversation about Indian IPOs gets far before someone mentions the GMP. It is worth understanding exactly what it is, because it is simultaneously the most-quoted and the least-reliable number in the entire process.

What the grey market premium actually is

The grey market is an informal, over-the-counter market where dealers trade applications and allotments before shares list on an exchange. The grey market premium is the rupee amount above the issue price at which those off-exchange deals are quoted. If an issue is priced at Rs 300 and grey quotes are printing at Rs 360, the GMP is Rs 60, an implied premium of 20%. A high and rising GMP is read as strong expected demand; a falling one as cooling interest.

Here is the part that matters: the GMP does not come from an exchange order book. There is no official tape, no regulated closing auction, and no historical file published by SEBI, NSE or BSE. The same IPO can carry different quotes from different publishers, and the numbers are not enforceable contracts. SEBI does not regulate the grey market and has repeatedly cautioned investors against relying on it. In a May 2026 order, SEBI described GMP as a speculative premium and flagged the lack of transparency in unregulated pre-listing trade.

The 2026 evidence against blind trust

In 2025, close to one-third of mainboard IPOs listed below the level their peak grey-market premium implied, despite heavy oversubscription during book-building. Hero Motors and SBI Funds Management are the examples the market press cited in September 2026, where GMP pointed one way and listing day delivered something else. Market participants themselves note there is 'no method, no transparency and no traceability' behind a GMP figure, and that multiple, conflicting GMP numbers often circulate at the same time.

How to use GMP honestly, if at all

- Treat it as a sentiment gauge, not a price prediction. It can tell you that a mood is hot; it cannot tell you what the stock is worth.
- Cross-check it. If GMP is running hot but the QIB book is barely covered, that mismatch is a warning, not a signal.
- Watch the trend, not the snapshot. A late slide in GMP often reflects cooling demand or bad news.
- Never let it override valuation. A high GMP on an overpriced issue is how retail investors end up holding a loss.

SEBI has been working on a regulated alternative - a 'when-listed' platform that would allow trading of shares in the window between allotment and listing, moving the activity onto an exchange-based venue. Until that exists, the disciplined position is the one regulators keep repeating: decide from the company's fundamentals, financial performance and risk factors, not from a premium quoted in an unregulated market.

KEY TAKEAWAYS

- GMP is an unofficial, unregulated premium with no exchange tape and no enforceable contract.
- In 2025, close to one-third of mainboard IPOs listed below the level their peak GMP implied.
- Use GMP as a sentiment gauge at most, and never let it override your own valuation.

Chapter 14 - Twelve Red Flags That Should Make You Skip

Most bad IPO outcomes are not surprises. The warning signs were in the prospectus, in the structure of the issue or in the mood around it. Here are twelve flags that, on their own or in combination, should make you pause before applying.

- 1 An issue that is almost entirely an offer for sale, with the company raising little or no fresh capital. Ask why the owners are selling now.
- 2 A valuation at a large premium to listed peers with no credible, quantified reason for the premium.
- 3 Objects of the issue dominated by 'general corporate purposes' rather than specific, costed projects.
- 4 Promoters selling a large part of their stake in the OFS - a signal about their own confidence.
- 5 High debt being repaid out of fresh-issue proceeds while the business's operating cash flow stays weak.
- 6 Heavy related-party transactions - the company doing significant business with its promoters' other firms.
- 7 Significant, quantified litigation, tax demands or regulatory notices that could hit cash flows.
- 8 A tiny float - a small percentage of shares offered to the public - which makes the price volatile and easy to move.
- 9 A GMP-fuelled frenzy where subscription numbers are enormous but the fundamentals are thin.
- 10 An SME issue being marketed like a mainboard blue-chip, with promises of 'guaranteed' listing gains.
- 11 A business whose margins sit at an obvious cycle peak, being priced as if the peak is permanent.
- 12 You cannot explain, in one sentence and without referring to other applicants, why this business is worth the price.

None of these is automatically fatal - a hot issue can still be a good long-term investment, and an all-OFS issue can still be fairly priced. The point is that each one raises the bar for the evidence you should demand. When three or four of them stack up at once, the sensible move is usually to

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let the issue pass and wait for the next one. There is always a next one: the 2026-27 pipeline alone holds roughly Rs 3.86 lakh crore of issues.

KEY TAKEAWAYS

- An all-OFS issue, a rich valuation versus peers, and a promoter sell-down are three of the loudest warnings.
- Heavy related-party transactions and vague 'general corporate purposes' objects deserve extra scrutiny.
- When three or four red flags stack up at once, the sensible move is to pass - there is always a next issue.

Chapter 15 - The Allotment Lottery: Your Real Odds

Here is the uncomfortable truth about retail IPO allotment: it is a lottery, and for a hot issue your odds can be very small. Understanding how the lottery works will save you from two common mistakes - applying for more lots to 'improve' your chances, and feeling cheated when a heavily oversubscribed issue allots you nothing.

How retail allotment is decided

In the retail category, when an issue is oversubscribed, the registrar conducts a computerised draw of lots. Each valid application - one per PAN - is treated as a single entry, regardless of how many lots you bid for. Selected applicants receive the minimum lot. If there are shares left over after every successful applicant has received one lot, those are allotted proportionately. The key fact: bidding for five lots instead of one does not give you five entries in the draw. One PAN, one entry.

How to think about your probability

Your rough chance of a retail allotment is the number of lots available to retail divided by the number of valid retail applications. If an issue reserves 10 lakh shares for retail and 50 lakh applications arrive, your odds are about one in five. If it is subscribed 50 times in the retail category, your odds fall toward one in fifty. Applying more lots does not change the numerator; it only changes the amount that gets debited if you win.

The NII category behaves differently

- Small NII (Rs 2 lakh to Rs 10 lakh): gets a guaranteed minimum lot when the issue is oversubscribed, like retail, but the pool is far smaller than the retail pool.
- Big NII (above Rs 10 lakh): allotted proportionately to the amount bid. A larger bid does increase the number of shares you receive if the category is oversubscribed, but it does not guarantee anything.
- NII and QIB applicants cannot bid at the cut-off price - they must name a price within the band, and they cannot withdraw once the issue closes.

The single most important retail rule: your probability is fixed by your PAN, not by your lot size. If you want more entries, the only legitimate route is more PANs - your spouse's, your parents', your adult children's - each with their own demat, PAN and bank account. Anything else is a rejected application.

A useful mindset: treat IPO allotment as a bonus, not a plan. Size your application so that the blocked amount never strains your cash flow for the three working days it is locked, and never count on getting allotted. The applications that hurt people are the ones made with money they could not afford to have blocked.

KEY TAKEAWAYS

- Retail allotment is a computerised draw of lots: one PAN equals one entry, no matter how many lots you bid.
- Your odds are roughly the retail lots available divided by the number of valid retail applications.
- Never apply with money you need soon - the block lasts three working days per application.

Chapter 16 - Listing Day: The Pre-Open Auction And Your Decision

Listing day is when the paper becomes a price. On T+3, the exchange runs a pre-open call auction from 9:00 AM to 9:45 AM, during which buy and sell orders are collected and an equilibrium opening price is discovered. Regular continuous trading then begins at 10:00 AM. Your decision - sell or hold - should be made before 9:00 AM, not in the heat of the first thirty minutes.

The one fact that changes how you think about a listing gain

A listing gain is not profit until you sell. It is a price on a screen. Plenty of investors have watched a 40% listing pop fade to 5% within a month because they held on for more. The disciplined question on listing day is not 'how much am I up?' but 'would I buy this business at today's price with fresh money?' If the answer is no, the listing gain is an exit opportunity, not a reason to hold.

A simple framework for the sell-or-hold call

- 1 Ask whether the price now reflects more than your own valuation of the business. If the stock has run past the fair value you estimated in Chapter 11, selling locks in a real gain.
- 2 Ask why you applied. If your only reason was a quick listing pop, take the pop. If you wanted to own the business for years, a listing day is a poor moment to make a long-term decision - but only if the fundamentals still hold.
- 3 Remember the tax timing. Selling within twelve months of allotment is a short-term gain taxed at 20%. If you are close to the twelve-month mark, holding a few more weeks can move the gain into the 12.5% long-term bucket.
- 4 Remember the trade-to-trade phase. For the first ten trading days, every transaction settles by delivery, so you must hold the shares in your demat account to sell them.

What the professionals watch after listing

The anchor investors' lock-ins are the quiet clock in the background. Half of the anchor book is locked for 90 days and half for 30 days from allotment. When those windows open, some institutional supply can come to market. A stock that lists well but drifts lower a few weeks later is often reacting to that supply, not to anything wrong with the business. Knowing the lock-in calendar keeps you from misreading a routine technical event as a verdict on the company.

KEY TAKEAWAYS

- A listing gain is not profit until you sell it - it is a price on a screen.
- Decide sell-or-hold before 9:00 AM on listing day, using the framework, not the first thirty minutes of trading.
- New listings trade in a delivery-only mode for their first ten trading days - plan around it.

Chapter 17 - SME IPOs: The High-Risk Corner

Alongside the mainboard, India runs two SME platforms - NSE Emerge and BSE SME - designed to give smaller companies access to public capital under a lighter, proportionate framework. They have produced spectacular listing gains and equally spectacular losses, and SEBI has repeatedly warned retail investors to treat them with more caution, not less.

What makes an SME issue different

- Smaller companies with short track records, often thinly traded after listing.
- Eligibility is looser than the mainboard but still real: post-issue paid-up capital of not more than Rs 25 crore, at least three years of track record, operating profit (EBITDA) of at least Rs 1 crore in two of the last three financial years, and positive net worth. NSE Emerge additionally requires positive free cash flow to equity in two of the last three years.
- Market-making is mandatory for three years on the SME platforms, which provides some liquidity support but is not a guarantee of price.
- A smaller float means the price can move violently on modest volumes.

The rules that protect you, and the risks that remain

SEBI has tightened the SME framework considerably. Retail applicants on the SME platforms are capped at Rs 2 lakh per application, exactly as on the mainboard, and the minimum application lot is larger. In August 2024, SEBI issued a specific advisory warning investors not to rely on rumours, tips or unverified social-media posts about SME issues, describing patterns capable of creating misleading optimism. The advisory did not mince words: the SME segment carries risks that the mainboard does not.

The SME boom of recent years produced genuinely great businesses and genuinely awful ones, sometimes indistinguishable on listing day. For most investors, the sensible default is to treat SME IPOs as a specialist area: read the offer document with even more care than you would a

mainboard one, size your positions smaller, and never let a headline about a '10x listing' pull you into an issue you have not understood. The higher the advertised upside, the more the document's risk factors deserve your attention.

KEY TAKEAWAYS

- SME platforms (NSE Emerge, BSE SME) carry more risk, not less, despite the headline gains.
- SME issuers need EBITDA of at least Rs 1 crore in two of the last three years and post-issue capital under Rs 25 crore.
- Treat SME IPOs as a specialist area - read harder, size smaller, and ignore 'guaranteed' listing promises.

Chapter 18 - The IPO Calendar: How To Track What's Coming

The IPO market rewards preparation more than reaction. If you only ever hear about an issue on the day it closes, you are always deciding under time pressure. Build a simple routine and you will always have a shortlist ready before the clock starts.

Where the pipeline is published

- SEBI's public-issues page lists every Draft Red Herring Prospectus (DRHP) filed, with dates - the earliest public signal that a company intends to list.
- The NSE and BSE IPO sections carry the confirmed calendar: which issues are open, their price bands, lot sizes and closing dates.
- Lead managers' websites and the registrar portals (KFintech, Link Intime) publish the offer documents and later the allotment status.

The pipeline is deep - so you never have to rush

As of late September 2026, about Rs 3.86 lakh crore of issues sat in the pipeline: roughly Rs 2.43 lakh crore from companies already cleared by SEBI and another Rs 1.44 lakh crore from companies awaiting approval. The point of quoting that number is not to impress - it is to remove the fear of missing out. With a pipeline that deep, passing on an issue you do not understand costs you nothing. There will be another one within weeks.

A pre-application checklist

- 1 The issue is open and you know its price band, lot size and closing date.
- 2 Your demat, PAN, bank and UPI details all match and are active.
- 3 You have read the objects of the issue and the basis for the offer price.
- 4 You have built a quick peer comparison and know where the issue sits on valuation.
- 5 You have run the seven-question scorecard and found no disqualifying red flag.

- 6 The amount you are bidding is money you can comfortably have blocked for three working days.

Keep a one-line note on every issue you look at, even the ones you skip: the price, the P/E, the subscription numbers and what happened on listing. Twenty of those notes are worth more than any course, because they are your own record of how your judgement is actually performing.

KEY TAKEAWAYS

- The DRHP pipeline is public on SEBI's site; the confirmed calendar sits on NSE and BSE.
- With a Rs 3.86 lakh crore pipeline, you never have to apply under time pressure.
- Keep a one-line note on every issue you look at, even the ones you skip - that record becomes your research.

Chapter 19 - The Tax Maths On Your Gains

The moment your allotted shares are listed and you sell them, you have a capital gain - and India taxes it at special rates. Getting this right is not optional: your broker already reports your transactions to the tax department, and the numbers will be cross-checked against your return.

Holding period: counted from allotment, not listing

The clock starts on the allotment date - the day the shares are credited to your demat account - not the listing date. Since allotment happens about two to three days before listing, a listing-day sale is always a short-term gain. The dividing line for listed equity is twelve months.

Short-term: 20%, flat

If you sell within twelve months of allotment, the gain is a short-term capital gain. For listed equity on which securities transaction tax (STT) has been paid, it is taxed at a flat 20% under Section 111A of the Income-tax Act, 1961. There is no exemption threshold - the whole gain is taxable. Add the 4% health and education cess and the effective rate is 20.8%, plus surcharge where your income is high enough (capped at 15% for this category of gain). The 20% rate applies to transfers on or after 23 July 2024; before that date it was 15%.

Long-term: 12.5% above Rs 1.25 lakh

If you hold for more than twelve months, the gain becomes long-term and is taxed under Section 112A at 12.5%, but only on the amount above Rs 1.25 lakh of total long-term gains from listed equity and equity-oriented funds in the financial year. Indexation is not available. The first Rs 1.25 lakh of long-term equity gains is effectively exempt.

Holding period	Type of gain	Rate	Notes
12 months or less	Short-term (Sec 111A)	20% + 4% cess	Flat; no exemption; STT must be paid
More than 12 months	Long-term (Sec 112A)	12.5%	Only on gains above Rs 1.25 lakh per year

A worked example

You are allotted 100 shares at Rs 250, for a total cost of Rs 25,000. On listing day you sell them at Rs 390, for Rs 39,000. Your short-term gain is Rs 14,000. Tax at 20% is Rs 2,800, and the 4% cess adds Rs 112, for a total of Rs 2,912. Your net profit is roughly Rs 11,088. If instead you held the shares for fourteen months and sold at the same price, the Rs 14,000 gain would fall under the Rs 1.25 lakh long-term exemption and would attract no tax at all - a striking illustration of why the holding period matters.

Where it goes in your return

- Capital gains from listed equity are reported in Schedule CG of your income-tax return.
- Short-term gains go under the sub-section for Section 111A; long-term gains under Section 112A, with scrip-level detail (including the ISIN) in Schedule 112A.
- Use ITR-2, or ITR-3 if you also have business or professional income.
- Cross-check the pre-filled data against your broker's tax P&L; statement (Zerodha Console, Groww, Upstox and others publish one) before filing.

The rulebook is being renumbered. The new Income-tax Act, 2025 takes effect from 1 April 2026. Under it, the old Section 111A (short-term) becomes Section 196 and Section 112A (long-term) becomes Section 198. The substantive rules - 20% short-term, 12.5% long-term, the Rs 1.25 lakh exemption, the STT requirement - stay the same. Only the section numbers change, so do not be thrown if your ITR utility references the new numbers.

KEY TAKEAWAYS

- Sell within 12 months of allotment and the gain is short-term, taxed at a flat 20% plus cess.
- Hold beyond 12 months and the gain is long-term at 12.5%, with the first Rs 1.25 lakh a year exempt.
- Report gains in Schedule CG of ITR-2 or ITR-3, and cross-check against your broker's tax P&L.

Chapter 20 - The Discipline: A Repeatable IPO Framework

Everything in this playbook reduces to one habit: a short, fixed set of questions you answer the same way every time, before you apply. A framework does two things - it stops you from applying to an issue you cannot justify, and it stops you from skipping one that genuinely fits. Here is a seven-question scorecard.

The seven-question scorecard

- 1 Business: can I describe what this company does, and how it earns money, in two sentences?
- 2 Use of funds: is the fresh-issue money going into specific, costed growth - or into a vague general-corporate-purposes bucket?

- 3 Valuation: is the post-issue P/E above, in line with, or below its listed peers - and does the growth justify it?
- 4 Quality of earnings: is operating cash flow consistent with reported profit over three years?
- 5 Owners' behaviour: are the promoters selling heavily in the OFS, or holding their stake?
- 6 Risks: did I read at least the first twenty risk factors, and is there anything that could break the business?
- 7 My reason: can I state, in one sentence without referring to other applicants or to GMP, why this is worth my money?

Score each question yes or no. Five or more clear yes answers, with no disqualifying red flag from Chapter 13, is a reasonable case to apply. Anything less, and the honest move is to pass. The framework is deliberately strict because there is no cost to skipping an IPO - the pipeline is deep, and the next issue is always weeks away.

Position sizing: the part most people get wrong

- Never apply with money you need within the next month. Your funds are blocked for three working days per application, and in a busy month that adds up.
- Never borrow to apply. A listing loss plus interest on borrowed money is the fastest way to turn a small mistake into a large one.
- Spread applications across a few issues rather than concentrating everything in one 'sure thing'.
- Cap your total IPO exposure as a share of your portfolio - a number you decide in advance, not in the middle of a hot issue.
- Treat allotment as a bonus. If you are not allotted, nothing is lost except three days of access to your own money.

A worked walk-through

Imagine a mid-sized manufacturer whose issue is 40% fresh capital and 60% offer for sale, priced at 28 times earnings against a listed-peer range of 22 to 30 times. Operating cash flow has tracked profit closely for three years. Promoters hold 60% after the issue and are selling only a sliver. The objects are specific: a new plant and working-capital support. The first twenty risk factors are ordinary. On the scorecard: business - yes; use of funds - yes; valuation - in line, yes; quality of earnings - yes; owners - holding, yes; risks - ordinary, yes; your reason - 'priced fairly against peers, with real cash flow and promoters still invested' - yes. Seven yes answers, no red flags. That is an issue you can apply to with a clear conscience. Run the same test on a loss-making company priced at 70 times earnings with a full promoter exit, and the scorecard does the work for you.

KEY TAKEAWAYS

- Answer the same seven questions before every application - business, funds, valuation, earnings quality, owners, risks, your reason.
- Five or more clear yes answers, with no disqualifying red flag, is a reasonable case to apply.
- Cap your total IPO exposure and never borrow to apply - a lottery is not a plan.

Chapter 21 - The Psychology: Beating FOMO And The Herd

Most IPO losses are not the result of a bad company. They are the result of a good company bought at a bad price, in a bad mood. The mood is the part you can control, and it is the part almost nobody trains.

Why the herd feels so persuasive

When an issue is subscribed ninety times and every group chat is buzzing, applying feels like the safe choice and skipping feels like the risky one. The emotion is understandable - it is the fear of watching everyone else profit while you sit out. But the subscription number is not evidence that the issue is good; it is evidence that a lot of other people had the same feeling you are having. In 2025, close to one-third of mainboard IPOs listed below the level their peak grey-market premium implied, and many of the most heavily subscribed issues were among the worst performers after listing.

Four habits that defeat FOMO

- 1 Decide before the issue opens, not on the closing day. A decision made early, in calm, is almost always better than one made in the last hour.
- 2 Write down your reason. A one-sentence, on-paper justification is the single most effective defence against a mood.
- 3 Set a fixed budget in advance. If the money is not in the IPO bucket, the temptation disappears.
- 4 Remember the pipeline. With roughly Rs 3.86 lakh crore of issues queued up, missing this one costs you nothing. The fear of missing out only works when you believe this is the last chance. It never is.

The long game

The investors who compound wealth over decades are not the ones who caught the hottest listing. They are the ones who stayed in the market, kept their costs and taxes low, and avoided the big, unforced errors that come from acting on excitement. An IPO is a small, optional event. Treat it that way, and it becomes a useful tool rather than a trap.

KEY TAKEAWAYS

- FOMO is the real risk: a hot subscription number is evidence that others feel excited, not that the issue is good.
- Decide early, write down your reason, and set a fixed budget before the issue opens.
- The pipeline is deep, so missing one issue costs you nothing - there is always another.

Chapter 22 - Scams, Traps And Mistakes To Avoid

Wherever there is money and excitement, there is someone selling a shortcut. The IPO market is no exception, and the traps are consistent enough that you can learn to spot them from a distance.

The traps that catch people

- Unlisted-share platforms: in June 2026, SEBI issued its third advisory warning investors against buying 'pre-IPO' or unlisted shares of public companies through platforms not recognised by SEBI. Such trades have no grievance redressal, no exchange oversight and no investor protection. If a website promises you shares of a company that has not listed yet, treat it as a red flag by default.
- 'Guaranteed allotment' services: no one can guarantee an IPO allotment. Allotment is a lottery run by the registrar under SEBI rules. Any paid 'assured allotment' offer is either a fraud or a misunderstanding.
- Telegram and WhatsApp 'IPO advisory' groups: these often promote an issue to inflate subscription, then quietly exit. Treat any group promising 'sure-shot listing gains' as marketing, not advice.
- Grey-market participation: buying and selling pre-listing 'applications' in the grey market is unregulated, unenforceable, and carries the risk of total loss of the position value.
- Borrowing to apply: applying with money you have borrowed, on the expectation of a listing pop, is one of the most common ways retail investors lose money.

The quiet mistakes that cost more than any scam

- Applying twice from the same PAN and having both applications rejected.
- Missing the 5:00 PM mandate approval on the closing day, so the bid is never confirmed.
- Bidding a value just above Rs 2 lakh and landing in the NII pool by accident.
- Using a family member's UPI handle, which triggers a third-party rejection.
- Confusing a listing-day price with realised profit, and holding a fading pop until it turns into a loss.
- Forgetting the tax entirely, then facing a demand when the broker's data meets the tax department's records.

- Letting a hot GMP override your own valuation and applying to an issue you would never have chosen on the numbers.

The thread running through every scam and every quiet mistake is the same: someone, or something, is trying to make a decision for you. The moment a decision is being rushed - by a tip, a deadline, a group, or a number on a screen - slow down. The pipeline is deep and there is no such thing as the last good IPO.

KEY TAKEAWAYS

- Never buy 'pre-IPO' or unlisted shares on platforms SEBI has not recognised - there is no protection if it goes wrong.
- No one can guarantee an IPO allotment; any paid 'assured allotment' offer is a fraud.
- The quiet mistakes - double applications, a missed mandate deadline, a forgotten tax - cost more than any scam.

Chapter 23 - Your 30-Day Action Plan

You do not need to be a full-time investor to use this playbook. Thirty days of small, structured steps will turn you from someone who 'applies for IPOs' into someone who knows exactly what they are doing and why.

Week 1 - Set up and get current

- Confirm your demat, PAN, bank and UPI details all match, and that your bank is on the current SCSB / UPI-eligible list.
- Bookmark the official sources: SEBI's public-issues page, the NSE and BSE IPO sections, and the registrar portals (KFintech and Link Intime).
- Read the SEBI investor FAQ on applying through ASBA, so the mandate mechanism is familiar before you first use it.

Week 2 - Learn to read an issue

- Pick one open or recently closed mainboard issue and read its objects of the issue and basis for the offer price.
- Build a peer comparison for that issue: post-issue P/E against the listed peers named in its RHP.
- Read at least the first twenty risk factors and note anything specific and quantified.

Week 3 - Make a paper decision

- Run the seven-question scorecard on two current issues - one you think is good, one you are unsure about.
- Write down the one-sentence reason you would apply, or the specific reason you would pass.

- Follow both issues through allotment and listing, and compare what happened with what you expected.

Week 4 - Apply with discipline

- Choose one issue that passes the scorecard, size the application so the blocked amount does not strain your cash flow, and apply through UPI ASBA.
- Approve the mandate the moment it arrives. Note the T+3 calendar in your diary.
- On listing day, make the sell-or-hold call before 9:00 AM, using the framework in Chapter 15.
- Record the outcome - allotted or not, gain or loss, and the tax you will owe - in a simple tracker. Over a year, that tracker becomes your own research.

The official resources to keep at hand

- SEBI - public issues, ICDR regulations, and investor education: sebi.gov.in
- NSE and BSE - issue calendars, allotment status, listing information: nseindia.com and bseindia.com
- NPCI - the list of banks eligible for UPI IPO mandates: npci.org.in
- Income Tax Department - capital-gains rules and ITR utilities: incometaxindia.gov.in
- AMFI and NSE investor education - context on the wider market you are joining.

The final word: the IPO market rewards patience far more than enthusiasm. Every number in this playbook exists to help you apply less often, but for better reasons. A single well-understood issue, applied to with money you can afford to have blocked, will beat a dozen lottery tickets every year. That is the whole game.

KEY TAKEAWAYS

- Week 1: get your demat, PAN, bank and UPI details matching and current.
- Week 2: read one issue's objects, valuation basis and risk factors end to end.
- Week 3: run the scorecard on two issues and follow them through allotment and listing.
- Week 4: apply to one issue that passes, size it sensibly, and record the outcome in a tracker.

Appendix A - Glossary of terms

Term	Meaning
ASBA	Application Supported by Blocked Amount - the mandatory mechanism for paying in a public issue; funds are blocked, not debited, until allotment.
Anchor investor	A large institution that bids a day before the public issue opens; must apply for at least Rs 10 crore on the mainboard.
Basis of allotment	The registrar's official decision on who receives how many shares, finalised on T+1.
BRLM	Book Running Lead Manager - the merchant banker running the issue.
Cut-off price	A retail bid that accepts whatever final issue price is set.
Demat account	An electronic account that holds your shares, with CDSL or NSDL.
DRHP / RHP	Draft and final offer documents - the prospectus you read before applying.
GMP	Grey market premium - an unofficial, unregulated premium quoted before listing.
ICDR	SEBI (Issue of Capital and Disclosure Requirements) Regulations, 2018 - the rulebook for public issues.
Lot	The minimum number of shares you can bid for, set by the issuer.
NII	Non-Institutional Investor - anyone who is neither retail nor a QIB.
OFS	Offer for Sale - existing shareholders selling; the company receives no money.
QIB	Qualified Institutional Buyer - mutual funds, insurers, banks, FPIs and similar institutions.
RII	Retail Individual Investor - an individual bidding up to Rs 2,00,000.
SCSB	Self-Certified Syndicate Bank - a bank authorised to accept ASBA applications.
STT	Securities Transaction Tax - paid on exchange trades; its payment qualifies gains for the concessional tax rates.
T+3	The listing timeline: trading starts three working days after the issue closes.
UPI ASBA	The retail payment route where you approve a UPI mandate to block your funds.

Appendix B - Official sources

Every fact in this playbook is drawn from the following official and named sources, current as of October 2026.

- SEBI ICDR Regulations, 2018 and SEBI investor FAQs on the ASBA and UPI application process (sebi.gov.in).
- SEBI circular SEBI/HO/CFD/TPD1/CIR/P/2023/140 dated 9 August 2023 - reduction of the listing timeline from T+6 to T+3 days.
- SEBI Board memorandum and consultation material on anchor investor allocation, NII sub-categories and lock-ins.
- SEBI Press Release PR 32/2026 dated 17 June 2026 - warning on unlisted securities traded on unauthorised platforms.
- NSE Emerge and BSE SME eligibility criteria (nseindia.com, updated 4 August 2026) and NSE circular NSE/SME/73818 dated 20 April 2026 on FCFE.
- Income Tax Department - Section 111A and Section 112A of the Income-tax Act, 1961, as amended by the Finance (No. 2) Act, 2024 (incometaxindia.gov.in).
- Income-tax Act, 2025 - renumbering of Section 111A to Section 196 and Section 112A to Section 198, effective FY 2026-27.
- PRIME Database / The Economic Times, 1 October 2026 - record Rs 94,205 crore raised through mainboard IPOs in H1 FY27.
- Fortune India, 28 September 2026 - the Rs 3.86 lakh crore IPO pipeline.
- AMFI monthly data, August 2026 - record monthly SIP inflow of Rs 32,297 crore.
- NSDL and CDSL published counts, 31 August 2026 - about 23.77 crore demat accounts.
- NSE Market Pulse, August 2026 - 13.4 crore unique registered investors.
- PIB and Business Standard coverage of SEBI's remarks on the IPO cycle and pre-listing market activity, 2025-2026.

This playbook is an educational guide. It is not investment advice, and it does not recommend any specific issue or security. Investment decisions should be made on the basis of your own reading of the offer document and, where appropriate, advice from a SEBI-registered investment adviser.